

Outcome-Based Pricing Fails Tech CEOs in Services

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Outcome-based pricing is a trending term and sounds appealing, but hidden complexity and costs often make it impractical. Tech CEOs should instead use transparent models using components familiar to buyers that offer more flexibility, protect revenue and balance risk better.

Overview

Key Findings

- Despite a perception that outcome-based pricing is in common usage, the reality is that only 19% of services buyers are using these types of arrangements and on the seller side, only 13% of services agreements use outcome-based attributes. ^{1,2}
- Buyers prefer providers to take on more risk, but often don't want to pay more for that benefit. Defining and measuring success in outcome-based models is complex, time-consuming, expensive, and can strain strong relationships. Tech CEOs and their customers are often unprepared and unwilling to incur these overheads and costs.
- The additional pricing complexity can extend sales cycles, strain customer procurement practices and procedures and introduce contracting risk and volatility to customer budgeting and provider revenue planning.

Recommendations

- Implement a transparent pricing approach that utilizes a “best-of-breed” combination of subscription, fixed, consumption-based, and bonus fee components tied to specific objectives and performance thresholds. Side-stepping outcome-based pricing does not mean avoiding focusing on the identification and delivery of clear business results.
- Meet customers’ desire for simplicity by using components with which they and their procurement officers are familiar in a way that demonstrates what they are paying for and when. Lowering the perceived risk of working with you and showing how you are taking on more risk reinforces buyer preferences for business partners and not just vendors.
- Define expected results upfront, automate data capture for select and limited metrics to provide real-time performance monitoring of actuals against expectations, to adjust activities if needed and to support success fees without elaborate administration.

Strategic Planning Assumption(s)

Through 2031, less than 25% of tech CEO services contracts will utilize outcome-based pricing.

Analysis

At first glance, the idea of outcome-based pricing sounds incredibly attractive. Your customer is charged and pays you when you achieve an outcome, for example, if you build and implement an agentic solution that automatically resolves certain classes of incidents, then they pay you per resolution, or bundle of resolutions. In the provider view, you are taking a significant risk for successful delivery and should be compensated accordingly. However, reality does not make this practical in many situations. Tech CEOs must evaluate how they can tailor their pricing approach to meet the customer’s need for value and their own requirements to sell and deliver profitable work with acceptable risk.

The Assumed Advantages and Realities of Outcome-Based Pricing

In practice today, these models are not used extensively by tech CEOs as a primary pricing mechanism. Broad use of these models remains elusive.

The single biggest reason for limited usage of outcome-based models is the difficulty and complexity in defining and measuring success.

As a provider taking on much higher levels of risk, it is necessary to ask:

- Can we agree with the customer on what is a successful outcome?
- Are those outcomes measurable?
- Who controls the many variables that contribute to achievement of outcomes? For example, if the customer is responsible for certain actions to ensure an outcome is achieved and fails, does that mean the provider does not get paid for that outcome?

Table 1 summarizes the assumed advantages and the realities of outcome-based pricing and services. It is not a coincidence that there are significant cautions, and tech CEOs are advised to consider accordingly.

Table 1: Assumed Advantages and Realities of Outcome-Based Pricing

(Enlarged table in Appendix)

Assumed advantages for tech CEOs	Realities for tech CEOs
■ Aligns provider revenue with successful outcomes, shifting focus from commodity inputs (e.g., rate cards).	■ Ambiguity in defining clear, measurable outcomes. ■ Additional contractual complexity. ■ In manually administered models, a contingency of up to 20% is advised to cover measurements, attributions, and disputes. This is the core basis upon which the provider gets paid, yet it effectively inflates the overall services cost.
■ May reduce upfront costs for the customer.	■ Creates revenue unpredictability and cash flow and financing issues that may not be sustainable. ■ Limits customer budgeting predictability and potentially an open-ended liability that may require additional customer approvals. ■ Getting paid after versus before the outcomes.
■ Can strengthen long-term customer-vendor partnership (if metrics are agreed upon).	■ Can strain and harm customer relationships due to misaligned goals and disputes over results given the provider's need to prove attribution and claim revenue. ■ Contractual complexity increases and the higher perceived and actual risk lengthen the sales cycle. ■ Procurement rules may not allow uncertain and potentially open-ended payments to a provider. ■ Regardless of technology, human habits, cultural norms, and emotions are persistent and strong factors in decision making.
■ Provider earns a "risk premium" for successfully delivering promised outcomes.	■ In the customer's view they are forced to pay an ongoing risk premium even after initial delivery is complete, reducing their perceived value upon renewal. ■ Customers may perceive that the provider is taking advantage of them. ■ Providers must ensure they have appropriate and explicit execution controls to manage their risk.

Source: Gartner (February 2026)

"Every now and then a customer asks about charging them outcome-based. Once we pitch prices based on hitting different benchmarks, they hesitate because they believe they are potentially giving away a tremendous amount of the value they would be getting from their investment and they don't want to do it."

— David Buxton, CEO, Decision Lab

Customers Want Outcomes and Shared Risk — But Not the Complexity

Regardless of the billing method, customers demand tangible business results. The 2025 Gartner Digital Services Buyer Behavior Survey confirms that a majority of organizations now include “fees-at-risk” components in over 20% of service agreements, reflecting a clear desire for providers to share the financial risk.

Yet outcome-based pricing models still fail tech CEOs for three main reasons:

- Difficulty in obtaining agreement on the definition of outcomes
- The effort and cost associated with measurement and attribution
- The implied variability in customer budgeting and spending (which has provider implications as well)

The term outcome-based pricing is falling into casual use, typically without context. Tech CEOs and their sales teams must be mindful to avoid inadvertently confusing customers about outcomes (which customers always want) versus outcome-based pricing (which may or may not be in play). Be mindful of the terminology when speaking to customers, in presentations, proposals, and sales collateral.

Delivering outcomes is mandatory, but charging on that basis for them is difficult and risky for both providers, customers, and their relationship.

Likewise, accepting more responsibility and putting a portion of provider fees at risk, does not require an outcome-based model.

Use an Alternative That Is Composable, Transparent, and Bonus-Based

A “composable” approach means breaking down the effort and using components the customer (and their procurement department) is already familiar with and uses. These parts can be assembled or reassembled when necessary to suit customer needs or market shifts. This approach is effectively a hybrid of existing models using a “best-of-breed” combination of pricing methods to address the delivery of outcomes. The components can include:

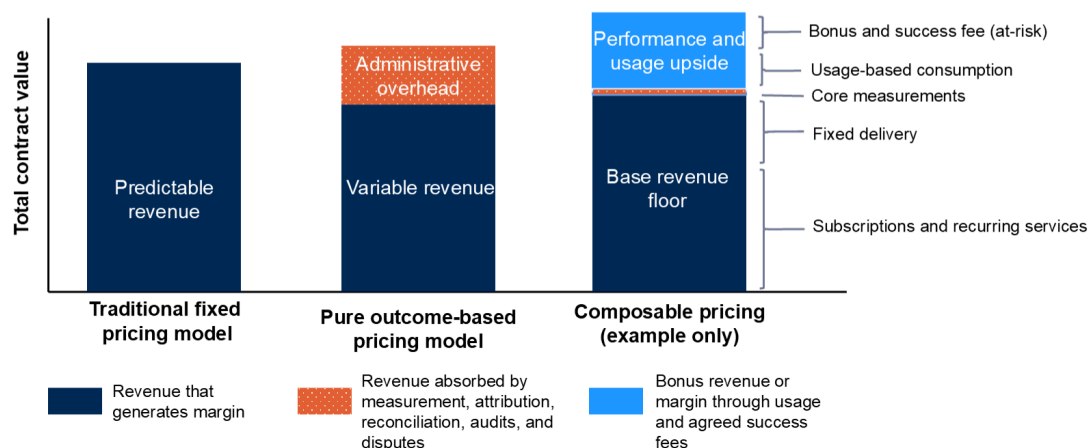
- Provider’s acceptance of risk and associated bonus or success fees

- Use of subscription components, including human time, software (traditional/AI), vendor assets, managed services bundles, and more
- Recognition that some pricing may be consumption-driven
- Fixing project fees for discrete or one-time scope

Incorporate this approach as it is more transparent because it facilitates explaining what the customer pays for, when and why. It avoids regular use of hourly rates and the mystery behind bundling too many services into a single large quote. Figure 1 shows a comparison of different pricing approaches. Note that the composable example shown here for illustrative purposes includes numerous components, not all of which are appropriate for every situation.

Figure 1: Composable Approach Secures Revenue Floor and Upside Potential

Composable Approach Secures Revenue Floor and Upside Potential



Source: Gartner
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Example of a Composable Pricing Model

A sample fee breakdown in a complex example like the one shown, might look something like this:

- **Subscriptions:** Ongoing delivery of services based on customer and predictable elements, such as expected human time, provider asset fees, non-AI software, AI fees and managed services bundles.

- **Fixed delivery:** One-time costs for design, setup, and implementation.
- **Usage-based fees:** Variable costs driven by usage, such as cloud service, API calls, token usage, overages, and more.
- **Success fee:** Provider bonuses or penalties based on the achievement of major engagement objectives.
- **Core measures:** Automated, system-level data collection embedded into the service offering that proves high level status on usage and data. Limited scope without excessive administration.

Ultimately, using a composable and flexible approach offers services to tech CEOs, providing the benefit of protecting their own revenue and enhancing their position with customers by:

- Demystifying what the customer is paying for, when and why.
- Putting a portion of their own fees at risk with clear rewards and penalties.
- Setting a spending expectation for customer budgeting.
- Avoiding excessive variability.
- Reducing the potential for disputes or the perception that value is being siphoned off to the providers.
- Better balancing risk.

Evidence

¹ **2025 Gartner Digital Services Buyer Behavior Survey.** This survey sought to understand the behavior of services buyers in the current changing technology landscape and economic climate. Respondents answered questions on spending plans related to AI services and digital product engineering, geopolitical changes and barriers to achieving digital ambitions. The survey was conducted online from July through August 2025. In total, 980 respondents participated, from organizations with annual revenue of at least \$50 million or equivalent from Asia/Pacific (25%), North America (38%), Western Europe (28%), and Southern Europe (9%). Industries represented included banking and securities, manufacturing, natural resources, communications, media and services, government, retail, wholesale trade, insurance, utilities, transportation, healthcare providers, and education. Qualified respondents were decision makers or decision influencers at the director level or higher, involved in the selection or evaluation of at least one of the following consulting or outsourcing services within the past two years: business consulting, technology consulting, application implementation, application managed services, infrastructure implementation, infrastructure managed services, infrastructure as a service, business process services, digital product engineering, and marketing, experience, content and image services. Disclaimer: The results of this survey do not represent global findings or the market as a whole, but reflect the sentiments of the respondents and companies surveyed.

² **2025 Gartner Digital Business Services (Provider) Survey.** This survey examined how digital business services providers are adapting their strategies, offerings, and operations to external shifts and accelerating AI adoption. It aimed to uncover how providers help clients adopt AI, their key AI investments and workforce enablement initiatives, their steps to move proofs of concept to production, levels of client engagement with AI, and AI's impact on their efficiency and revenue. It also explored digital product engineering engagements in terms of selection differentiators, clients' top priorities, and the most critical short-term investments for achieving differentiated and profitable service practices. The survey was conducted online from November through December 2025. In total, 252 respondents from service organizations with annual revenue of at least \$250 million or equivalent participated. Respondents came from Asia/Pacific (13%), North America (47%) and Europe (40%). Industries represented included carriers, cloud services, technology and business services, software, advertising, social media and publishing services, digital product engineering services and business services (consulting). Qualified respondents were decision makers or decision influencers at the senior manager level or higher who were involved in the product- and/or offering-related decisions of at least one of the following consulting or outsourcing services within the past two years: business consulting, technology consulting, application implementation, application managed services, infrastructure implementation, infrastructure managed services, business process services, digital marketing and brand strategies services (marketing, experience, content and image services), or digital product engineering. Disclaimer: The results of this survey do not represent global findings or the market as a whole, but reflect the sentiments of the respondents and companies surveyed.

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